

January 31, 2024

CLOUD AND COMMUNICATIONS

Stock Rating:
PERFORM

12-18 mo. Price Target NA
EXTR - NASDAQ \$16.64

3-5 Yr. EPS Gr. Rate 17%
52-Wk Range \$32.73-\$14.67
Shares Outstanding 131.5M
Float 126.1M
Market Capitalization \$2,156.8M
Avg. Daily Trading Volume 2,265,282
Dividend/Div Yield NA/NM
Book Value NM
Fiscal Year Ends Jun
2024E ROE NM
LT Debt \$228.9M
Preferred \$0.0M
Common Equity \$108M
Convertible Available No

EPS Diluted	Q1	Q2	Q3	Q4	Year	Mult.
2022A	0.21	0.21	0.21	0.15	0.77	21.6x
2023A	0.20	0.27	0.29	0.33	1.09	15.3x
2024E	0.35A	0.24A	(0.13)	0.17	0.63	26.4x
Prior (E)	--	0.31	0.32	0.37	1.36	NM
2025E	--	--	--	--	1.00	16.6x
Prior (E)	--	--	--	--	1.65	NM

Pro-forma EPS. Fiscal year ends in June.

Extreme Networks, Inc.

EXTR F2Q24: Weak Quarter and Very Weak Guidance, Lowering Estimates

SUMMARY

EXTR reported weak F2Q24 results as expected and lowered its full-year outlook again. Enterprises are delaying network upgrades and deals continue to get pushed out. We think it is a combination of above trend network upgrades the last few years, macro uncertainty and customers waiting for improved products/services (Wi-Fi 7). This is not unique to EXTR. Its bundled cloud services, Wi-Fi 7 and its complete Managed Service Provider (MSP) platform model (the latter two in very early stages) appear poised to serve as catalysts, but meaningful contribution remains a year out, in our view. We think the stock will continue to be under pressure until revenue growth reaccelerates, which is unlikely until 2025, unless the stock gets cheap enough to buy. We are slashing estimates on weak guidance.

KEY POINTS

- **FY2Q Results.** Revenue of \$296M declined 7% YoY, in line with revised guidance, but a 16.5% miss vs. our original expectation. Gross margin improved to 62.5%, up 140bps sequentially and 390bps YoY, driven by greater subscription mix. EBITDA fell 8% to \$48M with margin flat with 2Q23 but down 300bps sequentially. FCF of \$28.6M, -58% YoY, was impacted by lower revenue and working capital headwinds
- We believe EXTR is still well-positioned long term, but industry-wide weakness will pressure results. Management offers a conservative outlook on demand, but large deal sales cycles remain elongated for uncertain reasons. Historically the industry has seen one-year pauses, and we are seeing stability internationally. F4Q should mark an inflection point as channel inventory stabilizes, but still a 2025 opportunity.
- **Guidance:** EXTR expects FY3Q revenue of \$200-210M, but solid non-GAAP gross margin of 59.5-62.5%. The company anticipates a normalized operating loss of \$26.8-21.6M and sees EPS between -\$0.22 and -\$0.17. Management also lowered its full-year outlook again. It now expects revenue to decline 14% at midpoint vs. previous mid-to-high single-digit growth. Management attributes weak guide to timing issues, mainly related to macro uncertainty.
- HPE's pending acquisitions of JNPR is reportedly already creating opportunities. The deal removes one of EXTR's closest competitors, particularly in terms of market share and products/services. The combined entity will have to rationalize its offerings, likely causing pain points for both new and existing customers.
- **Model Changes:** We reduce FY24E/25E revenue from \$1.4B/\$1.5B to \$1.1B/\$1.2B in line with guidance, but with slightly better gross margins on revenue mix. We see a return to mid-single-digit revenue growth in fiscal 2026, but above-mentioned growth vectors could drive improvements sooner. We cut FY24E/25E EBITDA by ~\$120M each, but expect margins to remain in low-to-mid teens.

Stock Price Performance

Company Description

Extreme Networks provides end-to-end, cloud-native networking solutions. Extreme designs and manufactures network infrastructure equipment in conjunction with its proprietary cloud management platform and comprehensive suite of applications.

For analyst certification and important disclosures, see the Disclosure Appendix.

Timothy Horan, CFA

212-667-8137

Timothy.Horan@opco.com
Edward Yang

212-667-8459

Edward.Yang@opco.com

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5-YEAR PRICE PERFORMANCE



Source: Bloomberg

BASE CASE ASSUMPTION

- Revenue growth in mid-double digits, in line with long-term guidance
- Margin expansion of 100-200bps per year

UPSIDE SCENARIO

- AI and private network adoption accelerate demand for cloud-driven networking solutions
- Revenue growth outpaces 15% long-term guidance

INVESTMENT THESIS

Extreme has one of the best Wi-Fi and switching equipment and software for enterprises. This is provisioned and managed over the cloud. Its new universal equipment supports compute, security, and now AI, all at the edge and directly in the hands of enterprises. This is now a substantially larger TAM, and in our view, EXTR has the ability to gain market share.

CATALYSTS

- Once in a decade enterprise network upgrade cycle driven by new wireless technologies and spectrum
- Large increase in available wireless spectrum
- Major logo wins

DOWNSIDE SCENARIO

- Prolonged component shortages and supply chain issues
- Industry consolidation favors larger service providers with more scale and resources
- Macro uncertainty causes enterprises to pause/slow network upgrades

ESG CONSIDERATIONS *

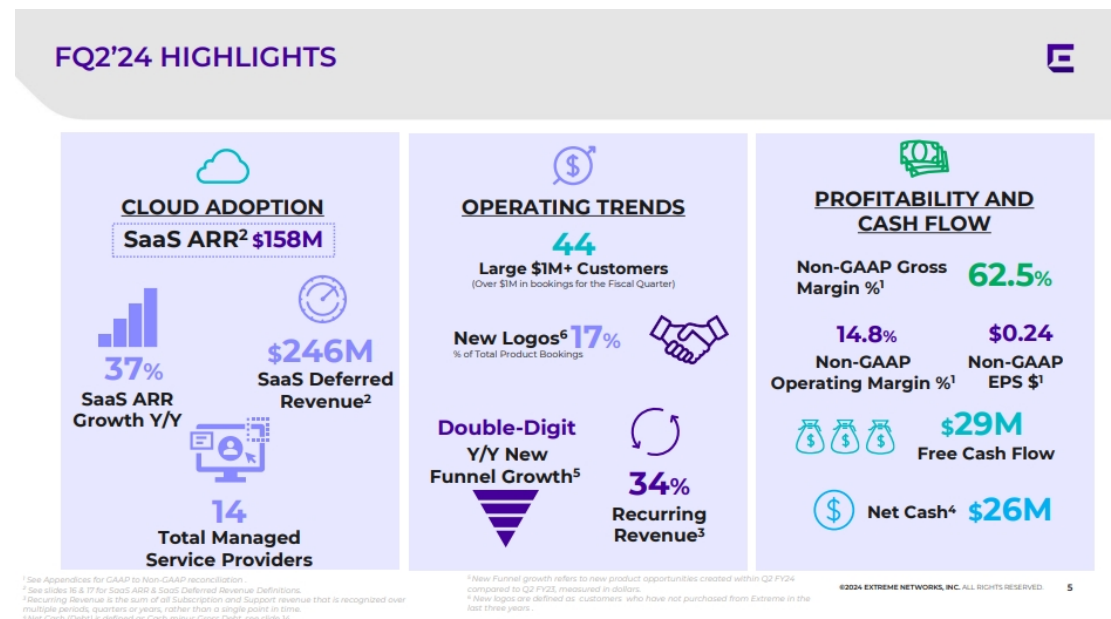
ESG Rating	C+
ESG Rating Environment	C+
ESG Rating Social	C+
ESG Rating Governance	B-

*Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product which are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. Refinitiv's ESG ratings are independent of Oppenheimer's stock ratings and are not taken into consideration when assigning a rating. For full details about Refinitiv's ESG scores, please [click here](#)

Other Thoughts and Notes

- Product backlog normalized ahead of schedule, and is now close to a 1:1 book:bill this quarter
- SaaS ARR grew 37% YoY to \$158M
- EXTR launched a new cloud-managed universal Wi-Fi 7 access point
 - Leverage ExtremeCloud's Universal ZTNA solution
- Wi-Fi 7 will support a 2x increase in spectrum and 4x increase in speeds, with significant improvements to latency—essential for many IoT devices/applications
 - Volumes expected to ramp in calendar 2025 as device ecosystem needs to catch up
- Positively, EXTR's MSP platform is gaining traction and will likely support its move to a more subscription/recurring-based model
 - 14 MSP partners with seven currently driving transactions
 - Simple to deliver seamless and high quality services
 - On track to meet 20-plus MSP partners by year-end
- We think private subscription offer can be disruptive, and expect meaningful deal announcements in 2H
 - Consumption billing model is very attractive for MSPs
- Expecting a particularly strong E-Rate season in fiscal 2H24

Exhibit 1. FY2Q'24 Highlights



Source: Extreme Networks

Extreme Selected Performance Data:

	Q1'23	Q2'23	Q3'23	Q4'23	Q1'24	Q2'24	Y/Y Change
Product Revenue	206.3	223.4	241.1	261.7	253.5	186.6	-16.5%
Service & Subscription revenue	91.4	94.9	91.4	102.2	99.6	109.8	15.7%
Total Revenue	297.7	318.3	332.5	363.9	353.1	296.4	-6.9%
Normalized Gross Margin (%)	57.5%	58.5%	59.1%	60.2%	61.1%	62.5%	3.9%
Adj. EBITDA	41.5	52.5	56.7	68.3	67.8	48.2	-8.2%
Adj. EBITDA Margin (%)	13.9%	16.5%	17.1%	18.8%	19.2%	16.3%	-0.2%
Normalized Operating Income	36.2	47.3	51.7	63.4	62.5	43.9	-7.2%
Operating EPS	\$0.20	\$0.27	\$0.29	\$0.33	\$0.35	\$0.24	-12.0%

Source: Company reports, FactSet, Oppenheimer & Co. Inc. estimates

OPCO Q2'24E	Actual vs. Estimates	Consensus Q2'24E
223.4	-16.5%	228.0
103.4	6.1%	99.0
326.9	-9.3%	327.0
61.3%	1.2%	60.6%
59.6	-19.1%	61.0
18.2%	-2.0%	18.7%
54.7	-19.7%	51.0
\$0.31	-22.7%	\$0.28

Extreme New vs. Old Estimates:

	Old 2024E	New 2024E	Percent Change		Old 2025E	New 2025E	Percent Change
Total Revenue (\$ mil)	1,383.1	1,143.6	-17.3%		1,500.7	1,164.5	-22.4%
Normalized Gross Margin (%)	60.8%	61.6%	0.8%		61.9%	63.0%	1.1%
Adj. EBITDA (\$ mil)	259.8	139.8	-46.2%		303.2	186.0	-38.6%
Non-GAAP EPS (\$)	\$1.36	\$0.63	-53.5%		\$1.65	\$1.00	-39.5%
FCF (\$ mil)	236.6	125.9	-46.8%		258.3	170.3	-34.1%

Source: Company reports, Oppenheimer & Co. Inc. estimates

Extreme Q3'24 Guidance:

Issued: 01/30/2024

	Low	High	Mid	OPCO	Difference from Mid
Revenue (\$ mil)	200.0	220.0	210.0	210.9	0.4%
Normalized Gross Margin (%)	59.5%	61.5%	60.5%	62.5%	2.0%
Normalized Operating Margin (%)	-13.4%	-9.8%	-11.6%	-6.9%	4.7%
Operating EPS (\$)	-\$0.22	-\$0.17	-\$0.20	-\$0.13	-35.5%

Source: Company reports, Oppenheimer & Co. Inc. estimates

Extreme Q4'24 Guidance:

Issued: 01/30/2024

	Low	High	Mid	OPCO	Difference from Mid
Revenue (\$ mil)	265.0	275.0	270.0	283.2	4.9%
Normalized Operating Margin (%)	10.0%	13.0%	11.5%	11.0%	-0.5%

Source: Company reports, Oppenheimer & Co. Inc. estimates



Extreme Networks Model
(\$ millions, except per share data)

Timothy Horan, CFA (212) 687-8137
tim.horan@jpmc.com

Last Updated: 01/30/2024

		2021	2022	Q1'23	Q2'23	Q3'23	Q4'23	2023	Q1'24	Q2'24	Q3'24	Q4'24	2024E	2025E	2026E	2027E	2028E
EXTR Consolidated Model		Full Year	Full Year	Dec-22	Mar-23	Jun-23	Full Year	Full Year	Dec-23	Mar-24	Jun-24	Full Year	Full Year	Full Year	Full Year	Full Year	Full Year
Product		751.1	751.1	206.3	222.4	211.1	205.7	253.5	253.5	253.5	253.5	253.5	253.5	253.5	253.5	253.5	253.5
Seq. growth		310.0	350.6	10.3%	8.3%	7.9%	8.5%	3.1%	-36.4%	-11.9%	-41.9%	64.0%	41.7%	43.7%	48.1%	13.1%	10.8%
Subscription and Support		169.1	169.1	91.4	94.9	91.4	102.7	99.6	109.8	103.1	102.4	102.3	102.3	102.3	102.3	102.3	102.3
Seq. growth		1,009.4	1,112.3	297.7	318.3	332.5	363.8	353.1	296.4	324.8	238.8	282.2	1,143.6	1,145.5	1,244.6	1,020.7	1,020.7
Consolidated Revenues				7.0%	6.9%	4.4%	5.4%	13.1%	-3.0%	-16.1%	-7.4%	-28.9%	34.3%	34.3%	34.3%	34.3%	34.3%
Product		42.0%	36.6%	99.8	103.6	108.9	114.0	426.3	108.5	81.5	96.1	49.9	81.9	321.8	312.4	320.4	312.4
% of product revenue		44.3%	47.3%	44.4%	46.4%	45.7%	45.6%	45.7%	42.9%	47.9%	41.9%	46.0%	49.0%	44.3%	43.0%	42.0%	42.0%
Subscription and Support		114.3	121.8	81.2	83.1	81.7	85.5	131.4	31.7	31.5	32.2	31.7	31.6	126.5	131.4	139.7	131.4
% of subscription and support revenue		36.6%	34.3%	34.2%	34.9%	34.6%	34.6%	34.6%	31.8%	31.5%	31.5%	31.0%	30.9%	30.9%	30.9%	30.9%	30.9%
Total Cost of Revenues		423.4	462.4	131.0	136.7	140.6	149.5	557.7	140.2	101.0	129.1	81.6	113.4	448.3	443.8	460.1	443.8
% of revenue		42.9%	43.4%	44.0%	42.9%	42.9%	42.1%	42.9%	39.7%	39.7%	39.7%	38.7%	40.1%	39.2%	38.1%	37.0%	37.0%
Adjustments to GAAP Gross Profit		28.9	17.0	4.5	4.7	4.5	4.5	38.2	1.8	2.5	2.5	2.5	2.5	43.0	43.0	43.0	43.0
Normalized Gross Profit		614.0	647.9	171.3	185.3	186.4	218.9	772.9	215.7	185.2	200.3	131.7	172.3	704.9	733.7	802.5	789.7
Normalized Gross Margin		60.8%	58.2%	57.5%	58.5%	59.1%	60.2%	58.9%	61.1%	62.5%	62.2%	62.5%	60.8%	61.6%	64.0%	64.5%	64.5%
Research and development		107.0	106.6	51.0	52.6	54.8	55.8	214.3	58.0	52.8	53.9	52.7	53.8	217.4	209.6	211.6	209.6
% of revenue		18.2%	17.1%	17.1%	16.5%	16.5%	15.2%	16.3%	16.4%	17.8%	16.1%	15.0%	15.0%	19.0%	18.0%	17.0%	17.0%
Sales and marketing		276.8	294.5	78.4	80.5	84.0	94.0	338.9	91.9	85.2	87.2	79.3	339.6	326.0	345.5	326.0	345.5
% of revenue		27.4%	26.3%	26.3%	25.3%	25.3%	25.6%	25.7%	26.0%	26.7%	26.7%	26.0%	26.0%	29.4%	28.0%	28.0%	28.0%
General and administrative		66.2	68.7	18.5	24.1	21.7	25.6	89.9	23.9	25.4	23.9	25.3	25.5	100.1	104.8	112.0	104.8
% of revenue		6.8%	6.2%	6.2%	7.4%	6.3%	7.0%	6.9%	6.8%	6.8%	7.3%	12.0%	8.0%	8.7%	9.0%	9.0%	9.0%
Acquisition and integration costs		2.0	7.0	0.4	0.9	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.2	1.2	1.2
% of revenue		0.2%	0.8%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.1%	0.1%
Restructuring and related charges		2.4	1.7	0.5	0.5	1.4	0.3	2.7	2.7	9.2	1.1	1.4	1.4	1.2	1.2	1.2	1.2
% of revenue		0.3%	0.2%	0.2%	0.1%	0.4%	0.1%	0.3%	0.8%	3.3%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
Amortization of intangibles		6.1	3.2	0.5	0.5	0.5	0.5	2.0	0.5	0.5	0.3	0.4	1.8	2.3	2.5	2.5	2.5
% of revenue		0.6%	0.4%	0.2%	0.2%	0.2%	0.1%	0.2%	0.1%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%
Total Operating Expenses		550.7	566.8	149.3	158.2	162.4	176.3	646.2	177.0	178.1	187.1	151.8	160.7	672.7	645.1	677.0	645.1
% of revenue		54.6%	50.9%	50.2%	49.7%	48.8%	48.5%	49.2%	50.1%	50.4%	52.3%	56.8%	56.8%	55.4%	54.4%	54.4%	54.4%
Stock-Based Compensation		39.1	43.1	13.8	17.4	15.4	16.9	63.5	19.9	21.0	18.0	11.6	15.6	66.1	70.0	75.9	70.0
% of revenue		3.9%	3.0%	4.0%	5.2%	4.8%	4.8%	4.8%	5.6%	7.1%	5.9%	5.0%	5.9%	6.0%	6.0%	6.0%	6.0%
Other Adjustments to Operating Income		7.0	16.9	0.4	1.8	2.3	3.9	8.4	3.9	10.0	4.0	4.0	22.8	10.0	10.0	10.0	10.0
Total Adjustments to GAAP Operating Income		47.1	67.0	14.2	19.2	17.7	20.8	71.9	23.8	31.0	22.0	15.6	19.6	90.8	80.0	85.0	80.0
Normalized Operating Income		110.3	136.1	36.2	47.3	51.7	63.4	196.6	62.5	43.8	54.7	-46.5	31.1	123.0	168.8	216.4	168.8
Normalized Operating Margin		40.9%	42.2%	42.2%	24.0%	24.0%	24.0%	25.1%	27.7%	24.0%	24.0%	-17.9%	11.0%	13.0%	14.5%	15.6%	15.6%
Depreciation excluding Amortization		23.1	20.3	5.0	5.1	5.0	4.8	19.9	4.9	4.3	3.2	4.0	3.7	17.5	17.5	18.7	17.5
% of revenue		2.3%	1.8%	1.7%	1.6%	1.5%	1.3%	1.5%	1.4%	1.6%	1.5%	1.4%	1.5%	1.5%	1.5%	1.5%	1.5%
Normalized EBITDA		131.6	156.8	41.5	52.5	56.7	68.3	218.0	67.8	48.2	59.9	-11.4	35.1	139.8	186.0	228.1	186.0
% of revenue		23.0%	14.3%	24.9%	26.5%	27.1%	32.1%	30.7%	19.3%	16.7%	16.3%	-4.5%	12.4%	12.2%	14.0%	14.0%	14.0%
Interest income		0.4	0.4	0.4	0.9	0.8	1.1	3.2	1.2	1.2	1.0	1.0	1.0	8.0	8.0	12.0	8.0
Interest expense		(22.8)	(12.8)	(3.8)	(3.9)	(3.9)	(5.7)	(4.3)	(4.3)	(3.1)	(3.0)	(3.0)	(14.7)	(14.7)	(13.0)	(8.8)	(13.0)
Other expense income, net		(1.4)	0.5	0.3	0.2	(0.4)	1.4	1.6	0.4	(0.4)	-	-	-	(0.0)	-	-	-
Normalized income before income taxes		86.4	124.2	33.1	44.6	48.2	60.1	186.0	59.8	40.7	52.7	-16.6	29.1	113.0	165.5	213.5	165.5
Provision (benefit) for income taxes		14.2	10.8	6.0	8.0	9.7	16.3	40.0	13.3	9.2	11.0	0.0	7.3	29.6	36.4	47.0	36.4
Tax rate		16.4%	16.7%	18.2%	17.9%	20.0%	27.1%	21.5%	22.2%	22.6%	22.6%	0.0%	26.0%	26.2%	22.0%	22.0%	22.0%
Normalized Net Income		72.2	103.5	27.1	36.6	38.5	43.8	146.0	46.5	31.5	41.7	-16.6	21.8	83.2	129.1	166.5	129.1
Normalized Net Income Margin		72.2%	9.3%	9.1%	11.5%	11.6%	12.0%	11.1%	13.2%	10.4%	11.0%	-7.9%	7.7%	7.9%	11.1%	13.4%	11.1%
Earnings per share:																	
Operating EPS		60.77	80.77	80.20	90.27	90.20	90.33	91.10	80.35	80.24	80.31	-50.13	80.17	80.83	91.00	91.30	80.83
Average diluted shares		127.7	135.5	132.9	134.5	133.0	132.9	133.3	133.5	133.5	132.1	131.7	131.5	132.2	129.5	126.2	129.5
Free Cash Flow Analysis:																	
Net income		72.2	103.5	27.1	36.6	38.5	43.8	146.0	46.5	31.5	41.7	(16.6)	21.8	83.2	129.1	166.5	129.1
Plus: Depreciation		23.1	20.3	5.0	5.1	5.0	4.8	19.9	4.9	4.3	3.2	4.0	3.7	17.5	17.5	18.7	17.5
Less: Capital expenditures		17.2	15.4	3.1	3.1	3.4	5.2	13.8	4.3	3.8	4.2	2.7	3.7	16.4	16.3	17.4	16.3
% of revenue		1.7%	1.4%	1.7%	1.0%	0.7%	1.4%	1.1%	1.2%	1.0%	1.3%	1.9%	1.4%	1.4%	1.4%	1.4%	1.4%
Annual Working Capital Adjustment		(72.3)	(46.0)	(17.4)	(29.0)	(14.3)	(20.6)	(83.0)	(24.0)	1.8	(14.3)	(104.0)	(103.0)	(45.3)	(46.0)	(46.0)	(46.0)
Free Cash Flow		180.5	158.3	46.6	67.8	45.5	29.2	139.2	73.3	28.4	31.7	(8.1)	32.1	129.9	176.3	207.8	176.3
% of revenue		14.9%	13.9%	15.7%	21.7%	13.7%	20.6%	17.9%	20.0%	16.9%	12.0%	-3.2%	11.0%	14.0%	14.0%	14.0%	14.0%
Less: Acquisitions		69.5	-	-	-	-	-	69.5	24.9	24.9	24.9	24.9	24.9	24.9	24.9	24.9	24.9
Less: Stock Buybacks		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Actual FCF		127.4	(16.8)	46.6	17.8	20.5	50.4	156.3	48.4	3.8	21.7	(18.1)	20.1	52.0	126.3	157.8	126.3
Balance Sheet Data:																	
Cash		246.9	194.5	189.3	202.5	203.0	234.8	234.8	224.4	221.4	216.2	173.3	163.4	163.4	261.6	389.4	261.6
Total Debt		346.8	308.6	271.5	262.0	237.0	225.0	205.0	187.5	186.0	180.0	187.5	187.5	187.5	157.5	127.5	157.5
Net Debt		99.9	114.1	73.2	59.5	34.0	(0.8)	(0.8)	(63.0)	(64.6)	(63.8)	14.2	24.1	24.1	(104.1)	(261.9)	24.1
Annual interest expense		6.6%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%	3.9%
Accounts Receivable, net		156.5	184.1	158.7	152.1	158.6	162.0	182.0	131.5	112.0	150.0	101.2	136.0	136.0	139.7	149.3	139.7
% of revenue		15.6%	16.6%	15.6%	15.0%	15.6%	15.6%	15.6%	14.0%	14.0%	14.0%	14.0%	14.0%	14.0%	14.0%	14.0%	14.0%
Inventories		3.9	49.2	51.8	63.8	70.3	89.9	89.9	100.8	102.0	96.1	59.0	73.6	73.6	61.7	49.3	49.3
% of revenue		0.3%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%
Net PP&E		150.9	149.8	48.0	45.7	46.2	46.4	46.4	46.3	47.6	47.6	47.6	47.6	47.6	47.6	47.6	47.6
Total Assets		1081.1	1147.0	1167.0	1200.0	1200.0	1200.0	1200.0	1147.0	1147.0	1147.0	1147.0	1147.0	1147.0	1147.0	1147.0	1147.0
Debt to Capitalization		46.6%	40.1%	42.0%	44.6%	44.2%	50.1%	50.1%	50.4	49.8	49.8	32.1	49.2	49.2	45.5	48.6%	48.6%
% of revenue		34.2%	38.1%	35.4%	35.0%	34.9%	34.8%	38.2%	37.2%	46.2%	37.0%	37.0%	37.0%	36.7%	36.8%	36.0%	36.0%
Shareholders' equity		54.3	90.1	110.8	84.4	82.2	118.8	118.8	108.5	108.2	108.2	108.2	108.2	108.2	108.2	108.2	108.2
Net Debt / EBITDA		0.8%	0.7%	0.4%	0.3%	0.1%	0.0%	0.0%	-0.1%	-0.1%	-0.1%	-0.3%	0.2%	0.2%	-0.6%	-1.1%	-1.1%
Key Performance Metrics:																	
Large Customers (% of total revenue)		31.1	29.8	37	44	36	38	38.2	30	34	35	35.8	35.8	35.8	35.8	35.8	35.8
Product Margin		105	513	555	542	36	267	1	1	1	1	1	1	1	1	1	1

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			Count	Percent
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